Metropolitan Public Transportation Authority

Policy:	**Fare Policy**
Responsible Department:	**Marketing and Communications**
Effective Date:	**July 1, 2026**
Approved By:	**MPTA Board of Trustees**

1.0 PURPOSE

This fare policy is intended to describe the CATS fare structure in relation to different types of transit services and fare media offered. Fare Policy issues affect all aspects of public transportation, and fare-related decisions have enormous effects on ridership, revenue, the amount of service that can be offered and community perceptions of public transportation.

Fare policies will be reviewed every two years to ensure consistency with the Financial Policies adopted by the MPTA.

The fare policy elements presented herein provide guidance for fare-related decisions in the context of fulfilling the mission of the transit system, protecting the public interest and supporting the Financial Policies adopted by the MPTA.

2.0 OBJECTIVES

This policy is designed to:

- Encourage ridership by pricing transit affordably for all segments of the service area population, particularly those whose mobility options are limited.
- Establish a fare structure that is simple and readily understandable by current and potential customers.
- Provide fare media that maximizes the convenience of paying fares.
- Price different types and levels of service equitably.
- Meet the Financial Policies' mandated system subsidy.

3.0 FARE MODERNIZATION PROGRAM

As part of the Fare Modernization Program, CATS will be simplifying and modernizing its fare system. CATS will be phasing in changes to the Fare Policy as the supporting technology becomes available. As part of implementation, CATS will be phasing in changes to its fare structure and pricing.

This fare policy documents the fare policies in place as of July 1, 2026 and those at full implementation.

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3.1 Fare Levels

- **Local Base Fare**

  The base local fare shall be at a level that is reasonably affordable for customers and that represents a fair share of the costs of operating transit services. Services that principally cover the same geographic territory as CATS local services shall also charge the base local fare.

  As part of simplifying the fare structure, CATS will eliminate the express bus fare and align the fare on express service with the local base fare. CATS will also be introducing a fare on streetcar that aligns with the local base fare.

- **Regional Express Bus Fare (Express Plus Fare)**

  Regional express bus service for routes that extend beyond Mecklenburg County shall be maintained at a level higher than the local base fare in recognition of much longer average trip lengths and the fact that the dedicated sales tax is not levied outside of the County.

  The adopted CATS Financial Policies require reimbursements from governmental units outside Mecklenburg County for service delivery into those areas.

  As part of simplifying the fare structure, CATS will be lowering the fare on regional express bus service and eliminating the reduced fare and discounted reverse commute fare on the service. The Federal Transit Administration (FTA) requires transit agencies receiving Section 5307 Urbanized Area Formula Program funds to offer a half fare or reduced fare to seniors, people with disabilities and Medicare cardholders during off-peak hours for fixed-route services. Since CATS regional express service only operates during the peak periods, CATS is not required to offer a half fare on this service.

- **Community Shuttle Fare**

  A community shuttle service fare shall be lower than the local base fare in recognition of the shorter trip lengths on these services and the different roles of these shuttles as feeders to local routes and as a means of mobility at the neighborhood level.

- **Microtransit Fare**

  Microtransit fare shall be aligned with the local base fare. Users must schedule trips in advance. Microtransit fares shall be prepaid, and cash shall not be accepted on board the vehicle

- **Special Transportation Services Fares**

  Special Transportation Services (STS) provides services mandated by the Americans with Disabilities Act (ADA). Federal regulations permit a fare of no more than twice the comparable fare on fixed-route service, but CATS has historically charged less than the maximum allowed. STS fares shall be prepaid, and cash shall not be accepted on board the vehicle. STS monthly passes shall be accepted on non-STS services in which the fare is equal to or less than the STS fare.

- **Employment/Activity Center Fare**

  Where shuttle service operates at employment/activity centers with CATS sharing funding responsibility with business groups, local governments or other entities, fares shall be set based on mutual agreement among the funding partners on a case-by-case basis.

- **Fare for Special Event Services**

  Where special event service is implemented for sporting events or similar activities, fares shall by set by CATS on a case-by-case basis.

- **Vanpool Fare**

  Vanpool fares shall be based in part on the roundtrip miles, with higher fares associated with longer trip lengths. In addition, a flat monthly rate shall be applied based on van size and the number of participants in the vanpool. CATS will provide a monthly subsidy per vanpool. The monthly vanpool rate is set by the contracted provider.

3.2 Fare Products

As part the Fare Modernization Program, CATS will replace one-way fares and passes with single rides for cash customers along with 2-hour passes and fare capping for customers using electronic fare payment methods, including CATS mobile ticket app, smart card and open payments (e.g., contactless debit or credit card, mobile wallet).

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- **Single Ride Fares**

  Single ride fares shall replace one-way fares that include transfer privileges for customers paying at a farebox, purchasing one-way fares from ticket vending machines or purchasing one-way fares through the CATS mobile ticketing app.

  With the implementation of new fare payment methods, fares purchased with cash onboard at the farebox or purchased from a ticket vending machine shall be valid for a single ride and shall not include transfer privileges.

  Prior to elimination, transfers shall be available free of charge except from less expensive to more expensive services (e.g., local bus to express bus). The cost of transfers to higher priced services shall be the difference in fares. Transfers shall be valid for up to 90 minutes from issuance.

- **2-Hour Passes**

  2-hour passes shall replace transfers.

  Fares paid using electronic fare payment method shall provide unlimited travel in any direction within two hours from first validation. 2-hour passes shall provide free transfers to same priced or less expense service. Customers transferring to more expensive service shall pay an upgrade (i.e., the difference in fares) using the same electronic fare payment method. Upgrades shall be available only for fare payment methods with stored value (e.g., smart card, mobile app) or open payments (e.g., contactless debit or credit card, mobile wallet).

- **Passes and Fare Capping**

  CATS shall offer daily (service day), weekly (Monday through Sunday) and monthly (calendar month) fares. Fare capping shall be available on all of CATS fixed-route services. With the implementation of new fare payment methods, CATS shall discontinue the sale of passes to customers.

  For services with the local fare, CATS shall offer daily, weekly and monthly fares. For regional express service, CATS shall offer monthly fares. These fares shall be available through fare capping. CATS may also offer some of these fares as passes through its pass programs.

  With fare capping, free unlimited-ride passes are earned through fare payment using an electronic fare payment method. Local and community shuttle paid fares shall

apply towards all fare caps. For fares paid on regional express service, the entire fare shall apply towards the express plus fare cap, while only a portion of the fare paid equal to the local fare shall apply towards the local fare caps. Once a customer achieves a fare cap, they shall ride for free on that service and less expensive service. For use on more expensive service, the customer shall pay an upgrade (i.e., the difference in fares). Value accumulated towards a fare cap shall reset at the end of the service day on the last day of the capping period.

Fare capping shall be available to all full-fare and reduced-fare customers using an electronic fare payment method.

To receive fare capping benefits, customers must use an electronic fare payment method (CATS mobile ticketing app, smart card or open payments) and use the same device or card for all trips. Fares paid with different devices/cards shall accumulate towards fare caps associated with each individual device/card.

In preparation of the implementation of the Fare Modernization Program, CATS may decide to discontinue sale of select passes and fare products, such as 10-ride passes, to help with the transition of customers to the new fare payment methods.

3.3 Reduced and Free Fares

- **Federally Required Half Fares**

  Reduced fares shall be available on all-day services with off-peak service to seniors ages 65 and older, people with disabilities and Medicare cardholders. As a grantee of Section 5307 funding, CATS is required to offer a half fare these populations during off-peak hours for fixed-route services. CATS has chosen to offer this half fare all day and to extend the discount to passes.

  The reduced fare shall be 50 percent of the fare for the service rounded to the nearest logical dollars and cents.

- **Other Special Fare Programs Reduced Fares**

  With the implementation of the Fare Modernization Program, reduced fares shall be extended to youth ages 6 to 19, veterans, active-duty military customers and customers participating in a qualifying benefit assistance program. Qualifying assistance programs shall include Medicaid, Supplemental Nutrition Assistance Program (SNAP), Women, Infants and Children (WIC), Free and Reduced Lunch, Housing Choice Voucher, and Low Income Energy Assistance Program (LIEAP).

- **Changes to Reduced-Fare Eligibility**

  For customers who are eligible for reduced fares as of May 27, 2026, the following changes to eligibility shall apply. Timing of implementation to be defined but notification of change shall apply a minimum of 90 days in advance:

  - For senior citizens, the age eligibility threshold shall be increased annually from age 62 until it reaches age 65.
  - For youth, CATS shall transition from eligibility based on K-12 enrollment to age-based eligibility (ages 6 to 19).

  For new special fare programs, such as veterans, active-duty military customers and customers participating in a qualifying benefit assistance program, CATS may evaluate opportunities to introduce these programs prior to the implementation of new fare payment methods.

- **Reduced Fare Payment**

  Eligible customers shall apply to obtain a reduced-fare account. Registered customers shall be required to reapply based on their type of eligibility.

  With the implementation of the Fare Modernization Program, customers paying the reduced fare shall use electronic fare payment method associated with a reduced-fare account to receive the benefits of 2-hour passes and fare capping.

  Senior citizens, passengers with disabilities, Medicare cardholders, and youth shall have the ability to pay the reduced fare with cash as long as they have appropriate identification to demonstrate proof of eligibility. Youth ages 6-12 shall not be required to have identification card for proof of eligibility when riding with an adult.

- **Free Children**

  Children 5 years and younger must be accompanied by an adult and shall not be required to pay a fare.

3.4 Fare Payment Fees

- **Stored Value Loading Fees**

  No fees shall apply when loading stored value to smart card and mobile app accounts.

- **Smart Card Fees**

  CATS shall charge a $5.00 fee for new and replacement smart cards. This fee shall be waived for initial reduced-fare smart cards. Replacement reduced-fare smart cards shall be subject to the $5.00 replacement fee.

  If smart cards are shipped in the future, shipping fees shall apply for mailed smart cards. CATS shall retain the ability to waive the shipping fees in specific instances, such as mailing initial reduced-fare smart cards.

3.5 Fare Promotions

CATS may adjust pricing of passes at its discretion to ensure accessibility, promote engagement or respond to economic or operational circumstances. This may include temporary price reductions, special promotions, discounted rates for specific groups or waived smart card fees. Adjustments shall be communicated and shall remain subject to the terms and conditions set by CATS on a case-by-case basis. Reductions shall last no more than a 6-month period, unless otherwise specified and approved, adhering to federal guidelines. Additionally, CATS, at the discretion of the CEO, shall have the right to temporarily suspend the charging of fares for all or any portion of the public transportation system in response to operational needs, emergencies or safety concerns. This shall be communicated via CATS standard communications procedures for service changes.

3.6 Bulk Sales Discounts

Sales discounts may be offered to the following types of organizations: 1) for organizations that sell passes in volume with a maximum of a 10 percent discount on passes and (2) to provide non-profit service providers with a 25 percent discount on passes for their clients.

A non-profit service provider shall be defined as public agencies and non-profit organizations whose primary purpose is to provide assistance to individuals and families at or below the federal poverty guidelines. Eighty percent (80%) or more of an agency or organization's current clients must be at or below the federal poverty guideline level.

Organizations can provide, to their employees, client(s) or other participants, transit passes and tickets free of charge, or they can sell them at a reduced price, or for the price that the organization paid for each ticket/pass. Organizations are NOT allowed to charge more than what the organization paid for the ticket/pass. Administration, handling fees, etc. shall not to be charged to individuals receiving a ticket/pass.

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3.7 All-Access Pass Agreements

For the purposes of this Policy, the following definition shall apply:

All-Access Agreement: An agreement negotiated by CATS with a third-party organization wherein CATS extends a discounted bulk rate and the third-party purchases passes at that rate for all members, clients and/or employees of that third party. Such passes may be for a time period of no less than 1 (one) month and must apply to all CATS services.

The key terms of each such potential All-Access Agreement shall be brought before the MPTA for approval of the discount before such agreement is executed, except as otherwise stated in this section. At the discretion of CATS's CEO, MPTA approval is not required for Agreements that are consistent with previously approved All-Access Pass Agreements and the key terms thereof as described below.

Educational institutions and non-profit organizations are eligible for an All-Access pass at the annual rate of $50 per participant. For-profit organizations are subject to an annual rate of $100 per participant. To qualify for the applicable rate all members, clients and/or employees must be enrolled in the program for the organization's physical locations served by CATS. Rates are assessed on a per-participant basis annually pending contract terms and are billed on an annual basis. For educational institutions, faculty and staff have the option to opt-in individually.

Educational Institution Pilot Programs may be established with the authorization of the CATS CEO. Such pilot programs are intended to support the evaluation of potential fare partnerships or service models before permanent adoption. All Educational Institution Pilot Programs shall be limited to a maximum duration of one year and shall adhere to federal guidelines.

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Current Fares and Fares at Full Implementation of Fare Modernization Program by Fare Type

The following table documents the current fares as of the MPTA approval of this Fare Policy effective July 1, 2026 and the fares at full implementation. CATS will be phasing in changes to its fare structure and pricing, as it implements the Fare Modernization Program.

Fare Type		**Current Fare as of June 10, 2026**	**Fare at Full Implementation**
Local Base Fare	Local bus, light rail	$2.20	$2.20
	Express bus within Mecklenburg County	$3.00	
	Express bus reverse commute	$2.20	
	Streetcar	Free	
Regional Express* routes to neighboring counties		$4.40	$3.50
Regional Express* reverse commute		$2.20	$3.50
Community shuttle service		$0.90	$0.90
Microtransit		$2.20	$2.20
STS (ADA service)		$3.50	$3.50
Activity Center Services		Set by agreement	Set by agreement
Special Event Services		Set on a case-by-case basis	Set on a case-by-case basis
Vanpool Service A minimum of 4 persons and as many as 15		Overall rate is set by contract provider. CATS will provide a subsidy for vanpool between 45% and 55%.	Overall rate is set by contract provider. CATS will provide a subsidy for vanpool between 45% and 55%.
Fares for seniors, people with disabilities and Medicare cardholders		$1.10 Local $1.50 Express $2.20 Express Plus* $0.45 Community shuttle	$1.10 Local/Express $0.45 Community shuttle
Fares for youth		$1.10 Local $1.50 Express $2.20 Express Plus* $0.45 Community shuttle	$1.10 Local/Express $0.45 Community shuttle
Fares for individuals in qualifying assistance program, veterans and active-duty military		N/A	$1.10 Local/Express $0.45 Community shuttle

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Fare Type	Current Fare as of June 10, 2026	Fare at Full Implementation
Children 5 years and younger	Free	Free
Transfers	Paper and electronic transfer valid for 90 minutes in the same direction of travel	N/A
2-Hour Passes	N/A	Electronic 2-hour pass valid for unlimited travel in 2 hours
All-Day Pass	$6.60 Local	N/A
Daily Fare Capping	N/A	$6.60 Local
Reduced-Fare Daily Fare Capping	N/A	$3.30 Local
Weekly Passes	$30.80 Local	N/A
Weekly Fare Capping	N/A	$30.80 Local
Reduced-Fare Weekly Fare Capping	N/A	$15.40 Local
Monthly Passes	$88.00 Local $121.00 Express $176.00 Express Plus* $140.00 STS (ADA Service)	$140.00 STS (ADA Service)
Monthly Fare Capping	$88.00 Local	$88.00 Local $140.00 Express Plus*
Reduced-Fare Monthly Passes	$44.00 Local $60.50 Express $88.00 Express Plus* (limited to seniors and passengers with disabilities)	N/A
Reduced-Fare Monthly Fare Capping	N/A	$44.00 Local
10-Ride Pass	$22.00 Local $30.00 Express $44.00 Express Plus* $9.35 Reduced-Fare Local	N/A
ETC Program	10% discount on transit passes	10% discount on transit passes
Non-Profit Discount Program	25% discount on transit passes	25% discount on transit passes
All Access Pass	$50.00 per year for Educational and non-profit institutions $100 per year for For-profit businesses	$50.00 per year for Educational and non-profit institutions $100 per year for For-profit businesses

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Fare Type	Current Fare as of June 10, 2026	Fare at Full Implementation
Stored Value Loading Fee	N/A	No fee
Smart Card Fee	N/A	$5.00

N/A – Not Available

* Regional Express is identified as “Express Plus” on fare media.

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Fares and Fare Policies at Full Implementation by Fare Type

Fare Type	Fare at Full Implementation	Recommended Policy for Fare Adjustments
Local Base Fare	$2.20	$ 0.25 or the average of 2-year inflation, whichever is greater, every two years
Regional Express* routes to neighboring counties	$3.50	1.5 times the local base fare
Community shuttle service	$0.90	40 to 50 percent of the local base fare
Microtransit	$2.20	Based on local base fare
STS (ADA service)	$3.50	Priced at up to twice the local base fare
Activity Center Services	Set by agreement	Fare determined by mutual agreement with partnering organization(s)
Special Event Services	Set on a case-by-case basis	Fare determined by CATS on a case-by-case basis
Vanpool Service A minimum of 4 persons and as many as 15	Overall rate is set by contract provider. CATS will provide a subsidy for vanpool between 45% and 55%.	Overall rate is set by contract provider and is based on number of participants, miles traveled, and cost of fuel.
Fares for seniors, people with disabilities and Medicare cardholders	$1.10 Local $0.45 Community shuttle	50 percent of service fare excluding regional express, STS and vanpool
Fares for youth, individuals in qualifying assistance program, veterans and active-duty military	$1.10 Local $0.45 Community shuttle	50 percent of service fare excluding regional express, STS and vanpool
Children 5 years and younger	Free	Free
Daily Fare Capping	$6.60 Local	Priced at equivalent of 3 single rides
Reduced-Fare Daily Fare Capping	$3.30 Local	One half of the daily fare cap
Weekly Fare Capping	$30.80 Local	Priced at the equivalent cost of 14 single rides
Reduced-Fare Weekly Fare Capping	$15.40 Local	One half of the weekly fare cap
Monthly Passes	$140.00 STS (ADA Service)	Priced at the equivalent cost of 40 single rides
Monthly Fare Capping	$88.00 Local $140.00 Express Plus*	

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Fare Type	Fare at Full Implementation	Recommended Policy for Fare Adjustments
Reduced-Fare Fare Capping	$44.00 Local	One half of the monthly fare cap
ETC Program	10% discount on transit passes	
Non-Profit Discount Program	25% discount on transit passes	
All-Access Pass	$50.00 per year for educational and non-profit institutions $100 per year for for-profit businesses	
Stored Value Loading Fee	No fee	
Smart Card Fee	$5.00	Priced to cover cost of the media and distribution

N/A – Not Available

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